

\$10M Premium Financed IUL vs \$10M PPLI — Complete Comparison

Same financing | Same tax treatment | Same \$0 out of pocket | What actually differs?

1. WHAT IS IDENTICAL — BOTH PRODUCTS DO THIS EQUALLY WELL

Factor	IUL (\$10M JH)	PPLI (\$10M)	Identical?
Legal structure	Life insurance — IRC Section 7702	Life insurance — IRC Section 7702	✓ Identical
Premium financing	Bank lends to ILIT at SOFR+1%	Bank lends to ILIT at SOFR+1%	✓ Identical
Your cash out of pocket	\$0 — lender pays all premiums	\$0 — lender pays all premiums	✓ Identical
Loan repayment	From policy cash value at Year 20/21	From policy cash value at Year 20/21	✓ Identical
Tax on distributions	\$0 — taken as policy loans (not income)	\$0 — taken as policy loans (not income)	✓ Identical
Death benefit to heirs	Income-tax-free under IRC 101(a)	Income-tax-free under IRC 101(a)	✓ Identical
Estate tax treatment (ILIT)	Removed from taxable estate entirely	Removed from taxable estate entirely	✓ Identical
Tax-deferred growth inside	Yes — grows tax-deferred inside policy	Yes — grows tax-deferred inside policy	✓ Identical
Non-MEC status	Required — maintained by both structures	Required — maintained by both structures	✓ Identical
Step-up in basis issue	Not applicable — death benefit is tax-free regardless	Not applicable — death benefit is tax-free regardless	✓ Identical
COI (mortality charge)	~\$417,002 over 20 years	~\$150,000–200,000 over 20 years	Similar

2. WHAT IS DIFFERENT — THE FOUR KEY DISTINCTIONS

Factor	IUL (\$10M JH)	PPLI (\$10M)	Winner
Premium load	\$345,417 (broker/distributor commission)	\$0 — no retail distribution channel	PPLI
Admin / Issue charges	\$1,035,923 over 20 years	~\$200,000–300,000 over 20 years	PPLI
Total policy charges (20 yrs)	\$1,799,479	~\$400,000–600,000	PPLI saves ~\$1.2–1.4M
Savings compounded @ 7% over 20 years	—	~\$5,000,000 more in policy value	PPLI
Return cap (upside)	13.5% max — any S&P; gain above this is lost	None — full market participation uncapped	PPLI
Return floor (downside)	0% — policy NEVER loses value from market	None — full downside in bad market years	IUL for financing safety
Historical avg return (25 yrs S&P; data)	~7.05–7.91%/yr (after cap/floor applied)	~8–10%/yr depends on strategy (uncapped)	PPLI likely higher
Investment options	Carrier's indexed accounts only (S&P; Nasdaq, Barclays — 7 options)	Any institutional manager — hedge funds, private equity, global equity, custom SMA	PPLI (more choice)
Dividend capture	No — S&P; 500 index is price-only (no dividends)	Yes — can invest in dividend-paying strategies	PPLI
Collateral call risk (premium financing)	Very low — 0% floor means policy never goes underwater from market losses	Moderate — portfolio can drop in crashes, potential collateral call from lender	IUL safer for financing
Who can buy	Anyone who medically qualifies	Qualified Purchaser only (\$5M+ investable assets)	IUL (accessible)

Investor control rule	Not applicable — carrier controls indexed accounts	IRS investor control doctrine applies — cannot direct specific trades	IUL simpler
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3. THE FEE IMPACT IN DOLLAR TERMS

IUL — Charges You Pay		PPLI — Charges You Pay	
Premium load (broker commission):	\$345,417	Premium load (no distribution):	\$0
Admin / Issue charges:	\$1,035,923	Admin / Issue charges:	~\$250,000
COI (insurance):	\$417,002	COI (insurance):	~\$175,000
Rider charges:	\$600	Other:	~\$75,000
TOTAL (20 years):	\$1,799,479	TOTAL (20 years):	~\$500,000

PPLI saves ~\$1,299,479 in charges. Compounded at 7%/yr inside the policy for 20 years, that savings grows to ~\$5,028,574 in additional policy value — all tax-free.

4. THE ONE REAL STRUCTURAL DIFFERENCE — THE 0% FLOOR

S&P; 500 Return	IUL Credits (13.5% cap / 0% floor)	PPLI Returns (uncapped / no floor)	Difference	
2000	0.00%	-10.14%	-10.14%	
2001	0.00%	-13.04%	-13.04%	
2002	0.00%	-23.37%	-23.37%	
2003	13.50%	26.38%	+12.88%	
2006	13.50%	13.62%	+0.12%	
2008	0.00%	-38.49%	-38.49%	
2009	13.50%	23.45%	+9.95%	
2013	13.50%	29.60%	+16.10%	
2019	13.50%	28.88%	+15.38%	
2021	13.50%	26.89%	+13.39%	
2022	0.00%	-19.44%	-19.44%	
2023	13.50%	24.23%	+10.73%	
2024	13.50%	23.31%	+9.81%	
AVG	8.31%	7.07%	-1.24%	

Green rows = S&P; above 13.5% cap — PPLI credited 0%
Red rows = S&P; negative — IUL credited 0%

The 0% floor is the IUL's most valuable structural feature in a PREMIUM-FINANCED context. If the PPLI portfolio drops 30% in a crash year (as 2008 showed), the lender may issue a collateral call — demanding cash from you when you least want to pay. The IUL's floor completely eliminates this risk. PPLI can mitigate this by using a conservative balanced strategy (60/40), but it cannot guarantee zero downside the way the IUL floor does.

5. FINAL SCORECARD — WHO WINS WHERE

Category	IUL	PPLI	Winner
Total charges (20 years)	\$1,799,479	~\$500,000	PPLI — saves ~\$1.3M
Savings compounded (20 yrs @7%)	—	~\$5,000,000 more	PPLI
Return upside	Capped at 13.5%	Uncapped — full market	PPLI

Return downside (floor)	0% — never negative	Full downside	IUL — for financing safety
Collateral call risk (financing)	None — floor prevents	Possible in crashes	IUL
Investment universe	7 indexed accounts only	Institutional — hedge funds, PE, custom	PPLI
Tax treatment (all of it)	Tax-free loans, tax-free DB	Tax-free loans, tax-free DB	IDENTICAL
Estate planning (ILIT)	Removes from estate	Removes from estate	IDENTICAL
Financing structure	SOFR+1%, ILIT, \$0 out of pocket	SOFR+1%, ILIT, \$0 out of pocket	IDENTICAL
Accessibility	Any qualifying insured	Qualified Purchaser (\$5M+ investable) only	IUL — easier access
Simplicity	Carrier manages index accounts	Investor control rules apply	IUL — simpler

THE BOTTOM LINE: Both products are premium financed identically — same SOFR+1% lender, same ILIT structure, same \$0 out of pocket, same tax-free treatment. The ONLY substantive differences are: (1) PPLI charges ~\$1.3M less in fees (worth ~\$5M compounded over 20 years), (2) PPLI has no 13.5% cap so you capture full market upside, but (3) PPLI has no 0% floor — the IUL's floor is critical in a financed structure because a market crash cannot trigger a lender collateral call when the floor holds the policy value flat. If you qualify for PPLI (\$5M+ investable assets), pursue it for the \$1.3M in charge savings but ensure the investment strategy inside is conservative enough to protect the financing collateral.

IUL charges from JH Accumulation IUL illustration April 2026. PPLI charges are estimates for \$10M policy — actual charges vary by carrier (Pacific Life, Crown Global, Zurich, etc.). S&P; 500 returns are historical price returns excluding dividends. Not financial, tax or legal advice. Consult qualified advisors.